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GST Reforms: Making Compliance Simpler

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Gora Dhan Lalal (Anchor): This is Akashwani in the program spotlight. Now we bring you a discussion on GST reforms making **compliance** simpler for businesses and taxpayers. The participants are Dilip Chenoi, economic analyst and Gora Dhan Lalal, anchor. Hello and welcome to our program. The 57th GST council meeting discussed today a lot of issues. It focused primarily on GST 2.0, the process reforms, **compliance** cases and ease of **compliance** which can be brought in and enforcement changes.

What all was discussed? What was decided? What are some **ramifications** for GST payers and for people like you and me where somewhere GST does impact us. Please join me in welcoming our expert in the studio today, economic analyst Dilip Chenoi. Dilip, welcome to the program.

Dilip Chenoi: Thank you for having me, Gordon.

Gora Dhan Lalal: So just cutting to the chase and saying what are some critical highlights that came out —some decisions—and once the decisions are **enumerated** then we take them up one by one.

Dilip Chenoi: Okay. So if you look at this GST council meeting today it's actually talked about as GST 2.0. I think the first phase of GST reforms which happened in last year's GST council meeting really talked about **rationalization** of rates etc. This meeting was all about trust-based administration, **decriminalization**, the acceptance of ITC refunds and reducing **compliance** **friction**. So if you look at really three bullet points that came out today, all process reforms regarding registration, refunds, and notices have been approved. Second and very important aspect of today's meeting was the removal of arrest powers of the officers for failure to **adhere** to certain GST rules and regulations and payments etc.

And the third one which is actually a very important aspect from the industry point of view, that is when you pay for supplied goods, if that person does not pay GST how can you get ITC credit. This proposal has actually been referred to a committee of the GST council to look at it in terms of some of the **procedural** aspects that have happened and this is really to reduce **friction**. It's in the vein of the reforms that this government has been doing and particularly in the taxation framework. A lot of it from the income tax is being reflected in GST. So there's got to be faster **automated** registration. There are automatic approvals of eligible low-risk applications, simplified registration for small e-commerce sellers.

Of course in refunds the **acknowledgement** period has been reduced from 15 days to 10 days. Around 90% of the refunds are expected to be issued between three working days through a risk-based **automated** kind of processing. Pending notices below a **threshold** of 10,000 rupees are going to be withdrawn. And of course in the enforcement, arrest powers of GST officers has been recommended for removal and the **prosecution** **threshold** has been raised from 1 cr to 5 cr. This is very interesting here and for e-commerce and the MSMEs also there's a very specific provision that e-commerce and small business sellers get simplified registration and **compliance** arrangements.

Gora Dhan Lalal: I think the overall tone and tenor that being of simplification and **alignment** with other taxation policies. Before we come to that you'd said that input claim for somebody who's paid GST without knowing whether the person down the line has paid it or not—was this a pain point and why is it so important?

Dilip Chenoi: So there are two competing principles that apply here. The first one is you need to protect the genuine buyer. If the buyer has actually purchased the goods and services, received a valid invoice, he has paid the supplier and paid the GST component, reported the transaction properly and has no knowledge of involvement of fraud, and then the supplier doesn't pay it right. It is harsh to deny ITC merely because the supplier **subsequently** defaults. The second thing is the challenge that why it's been referred to a committee is that it is to really look at how the GST revenue plays out.

Because if the government automatically allows the buyer to retain ITC even though the supplier has not paid the tax, it creates a potential **vulnerability**, and there could be a fake supplier, fake invoice, buyer claims ITC, supplier doesn't pay GST, government loses money right? Therefore it's been referred to a committee. The committee has to find a mechanism which distinguishes genuine commercial transactions plus supplier default from collusive paid transactions and **fraudulent** type claims.

Gora Dhan Lalal: Another word which is invariably the fear factor for any government **compliance** is **prosecution** and I think a lot of fear has been removed from that. Could you elaborate a little more on that?

Dilip Chenoi: So this is really the arrest powers. Under section 69 of the GST act the commissioner can authorize an arrest where it was believed that specified serious GST offenses have been committed. What is being proposed and accepted is GST officers will no longer have the power to make a pre-prosecution arrest. If **criminality** has been established, arrest would effectively move into the normal criminal law judicial processes rather than being an administrative power exercised by a GST officer. You're moving from a tax administration with criminal enforcement powers to tax administration primarily concerned with assessment and recovery. Today the GST system has a substantially greater data matching capability reducing the need to use arrest as a **deterrent**. For MSMEs this is very important because a tax dispute involving **classification** should not automatically carry the psychological business consequences associated with criminal enforcement.

Gora Dhan Lalal: Do you feel that such simplification and such measures will actually increase the **ambit**?

Dilip Chenoi: Yeah I think it's very important. The first point is the **decriminalization**, the second point from the MSME perspective is a simplified annual return. Businesses with turnover up to 5 crores could have quarterly tax payment plus annual return rather than more **compliance** burdens. GST **compliance** involves accounting, invoice **reconciliation**, return preparation, professional fees, and reducing the filing frequency actually eliminates **periodicity** of these steps.

A small reseller selling through an e-commerce operator can face problems with selling in multiple states because you have to register for GST in each state. What the proposed system has actually enabled is allowed the e-commerce platform warehouse to be treated as a seller place of business. It'll be a largely simplified and **automated** process. You don't have to do KYC for all your proposed addresses, and you don't need to establish **compliance** **infrastructure** into all states. It'll perhaps help in the MSME **formalization** process which has been ongoing for the last few years.

Gora Dhan Lalal: I think that is very attractive to people, young businesses that really want to expand but don't want the hassle of just doing the same process in different states.

Dilip Chenoi: I would just take it one step further. It'll also help the **artisans** and the crafts people to really look at the markets on a national scale and help them reduce the cost of **compliance**, help them reduce cost of transportation and **logistics**. I think the GST was designed around periodic returns. Technology now is changing and you could use a continuous largely **automated** tax ledger. We can move to a system of invoices real-time validation and could use technology to create a GST **compliance** dashboard. Perhaps there should be a three clear structure going forward: for a technical or **procedural** error it could be just correction; for **negligence** and default it's tax plus **proportionate** penalty; and **deliberate** fraud could be under civil recovery and later criminal **prosecution**.

Gora Dhan Lalal: Thank you so much for sharing your views with us. Dilip Chenoi, it was wonderful to have you on the program with us.

Dilip Chenoi: Thank you Gordon. It was a pleasure being here.